By 1983, it had succeeded in setting up district committees in 80 per cent of Indian districts, except the Northeast.[108] Yet, the party was virtually wiped out electorally in the Rajiv Gandhi wave of 1984 after Indira Gandhi's assassination. Vajpayee's response was to set up a working group, headed by Krishanlal Sharma and including the late Pramod Mahajan,[109] to answer two questions:

1. Whether the party's defeat was because of its decision to merge Jana Sangh with the Janata Party in 1977 and withdraw from the Janata Party in 1980? Were both the decisions wrong?
2. Should the BJP go back and revive the Jana Sangh?

Tasked with drawing up an 'Action Plan for the future on all fronts—ideological, organisational, agitational, constructive and electoral', the Working Group surveyed 4,000 party workers across the country, toured the states and met another 1,000 friends of the BJP. It answered in the negative to both questions.[110] The Working Group found that the party had taken 'a correct decision when it decided to merge with the Jana Sangh in the Janata Party, a wise decision when it decided to come out of the Janata Party to form BJP and a right decision when it chose to be BJP'.[111]

It was an important turning point for the party. It also provided the kernel for many of the underlying principles that appeared to drive Modi–Shah's massive expansion three decades later: the focus on district-level party offices, training of cadres, emphasis on full-timers, leadership tours and agitations and a return to ideology.

Among the BJP's shortcomings, the Working Group found that there was a communication gap between the leadership and the grassroot levels; 'lack of political training in a systematic manner to educate the workers on political, economic, ideological and organisational matters'; 'lack of agitations at national level on national issues'; and a 'poor response from women'.[112] At a deeper level, the Working Group argued that the BJP was facing an existential crisis because it had veered away from its core ideological identity—making alliances and diluting how it portrayed its core beliefs as a 'party with a difference'. 'We must admit that we have belied our expectations,' the report said. It was not 'popular support